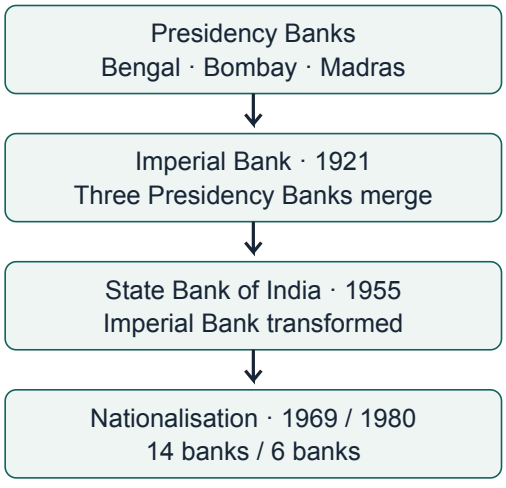
Banking Sector in India

1. Banking: meaning and history

- **Banking:** accepting public deposits for lending/investment, repayable on demand or otherwise and withdrawable by cheque, draft, order or otherwise—Section 5(b), Banking Regulation Act, 1949.
- **Intermediation:** mobilise savings → lend/invest → enable production, payments and capital formation. Banks also provide agency services: securities transactions for customers, trusteeship and execution of wills.
- **Early milestones:** Bank of Hindustan—1770; General Bank of India—1786; Bank of Calcutta—1806, renamed Bank of Bengal—1809; Bombay—1840; Madras—1843. The three Presidency Banks merged into **Imperial Bank, 1921**.
- **Allahabad Bank—1865:** historical bank, merged into Indian Bank in 2020. **PNB—1895:** early Indian-owned and managed bank. Do not confuse the nineteenth-century Union Bank with Union Bank of India, established in 1919.
- **SBI—1 July 1955:** Imperial Bank transformed under SBI Act, 1955; headquarters Mumbai. Seven associates originally; Saurashtra merged in 2008, Indore in 2010; remaining five associates and Bharatiya Mahila Bank merged in **2017**.
- **Social control—1967–68; nationalisation—19 July 1969 (14 banks), 15 April 1980 (6 banks).** The 1980 group had deposits of ₹200 crore or more. New Bank of India merged into PNB in 1993.
- **Why nationalise?** Concentrated ownership, urban bias, insufficient agriculture/SSI credit → rural branches, deposit mobilisation, directed credit, entrepreneurship and wider access. Persistent governance and bad-loan problems later drove reforms.



Banking expansion: Presidency Banks → Imperial Bank → SBI; nationalisation widened access.

2. RBI: origin, ownership and governance

- **Hilton Young Commission—1926; RBI Act—1934; operations—1 April 1935; nationalisation—1 January 1949** under the 1948 public-ownership law. RBI is wholly government-owned, while monetary policy operates through its statutory framework.

- Initially headquartered in Calcutta; moved permanently to **Mumbai in 1937**. Served Burma until 1947 and Pakistan until **30 June 1948**.
- **First Governor:** Sir Osborne Smith; **first Indian Governor:** C. D. Deshmukh. Manmohan Singh served as RBI Governor before becoming Prime Minister. Emblem: tiger and palm tree.
- First RBI note: ₹5 in January 1938. Government ₹1 note reintroduced in 1940; security thread introduced in 1944; high-denomination notes demonetised in January 1946.
- **Central Board—up to 21:** Governor + up to four Deputy Governors; ten directors from different fields; four directors drawn from local boards; two government officials. Central Government appoints/nominates them under the Act. Governor/Deputy terms: up to five years; nominated directors: four years.
- Four local boards: western, eastern, northern, southern regions. Local representation is distinct from the six-member MPC.
- **Accounting year:** April–March; transition July 2020–March 2021 was nine months. Earlier accounts used July–June.
- **NABARD and NHB:** RBI transferred its remaining ownership to Government in **2019**—ownership and regulation are different roles.

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3. RBI institutions and deposit insurance

- **DICGC:** Deposit Insurance and Credit Guarantee Corporation; created in **1978** by merging Deposit Insurance Corporation and Credit Guarantee Corporation; governed by the DICGC Act, 1961.
- **Cover: ₹5 lakh including principal + interest, per depositor per bank, in the same capacity and right.** Aggregate all branches and accounts in that capacity; different banks have separate cover. Example: savings ₹3 lakh + FD ₹4 lakh at one bank → maximum ₹5 lakh insured. NBFC deposits are not insured. DICGC FAQ
- **BRBNMPL—1995, Bengaluru:** RBI banknote-printing subsidiary; presses at Mysuru and Salboni. Government presses at Nashik and Dewas belong to SPMCIL. Coin mints: Mumbai, Kolkata, Hyderabad, Noida.
- **ReBIT—2016:** IT and cybersecurity; **IFTAS:** financial technology infrastructure, including INFINET, SFMS and Indian Banking Community Cloud; **RBIH:** innovation and financial inclusion.
- **IDRBT:** banking-technology research/training institution; distinguish it from IFTAS, which manages infrastructure transferred from IDRBT.

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4. RBI functions, currency and government finance

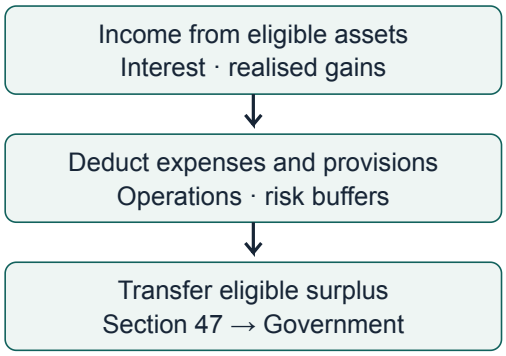
- **Currency issuer:** RBI issues banknotes except ₹1 notes; Government issues ₹1 notes and coins; RBI distributes coins. RBI Governor signs banknotes; Finance Secretary signs ₹1 notes.
- **Minimum Reserve System—1957:** Issue Department reserve of at least **₹200 crore**, with gold at least **₹115 crore**; remaining backing includes eligible foreign securities. This is not a fixed money-multiplier ceiling.
- RBI Act permits banknote denominations up to **₹10,000**; Coinage Act, 2011 permits coin denominations up to **₹1,000**. Permitted maximum ≠ denomination currently circulating.
- **Government's banker:** accounts, payments, public-debt management and temporary cash support. RBI manages Central and State government securities; Treasury Bills are issued by **Centre**, at a discount and redeemed at face value.

- **Ways and Means Advances:** temporary government cash mismatches, normally repayable within **90 days**; distinguish from permanent deficit financing.
- **Bankers' bank:** bank reserve/deposit accounts, liquidity facilities, settlement services and guidance. **Lender of last resort:** liquidity support to banks facing temporary funding stress; not routine direct loans to industry or an unconditional rescue guarantee.
- **Regulator/supervisor:** licensing, branches, prudential rules, inspection, bank restructuring; **monetary authority:** price stability with growth consideration; **forex manager:** reserves/FEMA; **payment-system overseer:** safety and efficiency.
- **Consolidated Sinking Fund:** participating states' reserve for debt redemption, managed by RBI; distinct from the constitutional Consolidated Fund under Article 266(1).

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5. RBI income, surplus and economic capital

- **Income:** interest on domestic/foreign securities and liquidity lending, gains from permitted securities/forex operations, other receipts. **Expenses:** banknote printing, staff/pensions, agency commissions and operating costs; risk provisions affect distributable surplus.
- **Section 47, RBI Act:** transfer remaining surplus to Government after statutory provisions; this predates 2018–19. **Section 48:** tax exemption. Printing a note is not automatically profit equal to its face value.
- **Seigniorage:** economic benefit from issuing currency, including returns on assets financed by currency liabilities; distinguish this broad concept from a charge for printing/distributing notes.
- **Economic capital = realised equity + revaluation balances.** Realised equity includes capital, Reserve Fund, **Contingency Fund (CF)** and **Asset Development Fund (ADF)**; revaluation balances absorb valuation movements.
- **CGRA:** Currency and Gold Revaluation Account—unrealised currency/gold valuation gains; not freely distributable cash income. A depreciation-driven book gain is not automatically available for government spending.
- **Committees:** V. Subrahmanyam—1997; Usha Thorat—2004; Y. H. Malegam—2013; Bimal Jalan—constituted 2018, recommendations accepted **2019**.
- **2025 ECF review:** Contingent Risk Buffer range **4.5–7.5%** of balance-sheet size; monetary/financial-stability buffer **3.5–6.5%**, plus credit/operational-risk provisioning. Unrealised revaluation balances remain non-distributable. The older **20.8–25.4%** figure referred to total economic capital, not CGRA alone. RBI ECF review
- **Fiscal effect:** surplus is non-tax revenue and may reduce borrowing needs; impact on yields/rates depends on spending, liquidity and market conditions. The **2024–25** transfer was about **₹2.69 lakh crore**; treat annual amounts as dated figures.



Unrealised revaluation balances are not distributable surplus.

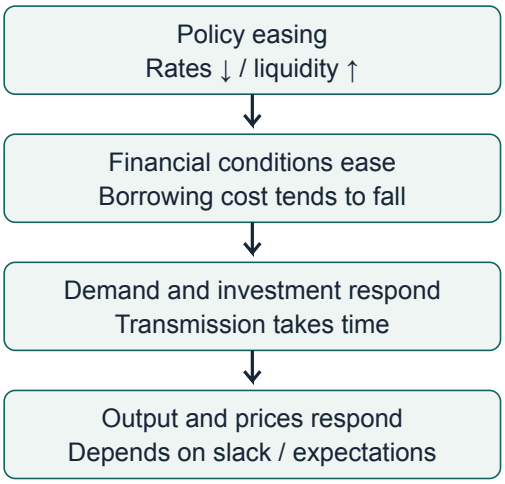
6. A bank balance sheet: assets, liabilities and NDTL

- **Assets:** cash/reserves, loans and advances, securities/investments, money at call/short notice, interbank claims. **Customer deposits are liabilities**, because the bank owes the depositor.
- **Demand liabilities:** current deposits, demand portion of savings balances, demand-payable margins, overdue deposits and outstanding demand drafts/remittances.
- **Time liabilities:** fixed/recurring deposits, cash certificates, time portion of savings balances, staff security and other deposits not payable on demand. Recurring deposits should not simply appear in both lists.
- **Other Demand and Time Liabilities (ODTL):** accrued interest, unpaid dividends, certain suspense balances and other eligible obligations.
- **NDTL:** liabilities to others + net liabilities to the banking system, if positive, after prescribed adjustments. Do not subtract both interbank assets and interbank liabilities indiscriminately from total DTL. RBI reporting definitions govern inclusion/exemptions.
- **Liquidity order for the PYQ:** currency → demand deposits → savings deposits → time deposits. Savings balances contain both demand/time components for regulatory reporting.
- **Interest Coverage Ratio = EBIT / interest expense.** Higher ratio generally means greater ability to service interest; assess both current levels and trends.

7. Monetary policy and MPC

- **Expansionary/easy:** lower borrowing cost or increase liquidity to support demand. **Contractionary/tight:** restrain demand/inflation by raising cost or absorbing liquidity. Fiscal revenue/debt are not themselves monetary-policy instruments.
- **Framework:** monetary-policy agreement in 2015; statutory **MPC and flexible inflation targeting in 2016**.
- **Headline CPI target: 4%, tolerance 2–6%; renewed for 1 April 2026–31 March 2031.** Primary objective: price stability while keeping growth in mind. Government notification
- **Failure:** average inflation above 6% or below 2% for three consecutive quarters → RBI reports reasons, remedial measures and estimated return period to Government.
- **MPC—six:** RBI Governor (chair), Deputy Governor in charge of monetary policy, RBI-nominated official + three Central-Government-appointed external members. External members: **four-year, non-renewable term**.
- **Decision:** each member has one vote; majority; Governor has casting vote in a tie. Quorum four; at least four meetings annually; ordinarily six scheduled policy meetings.

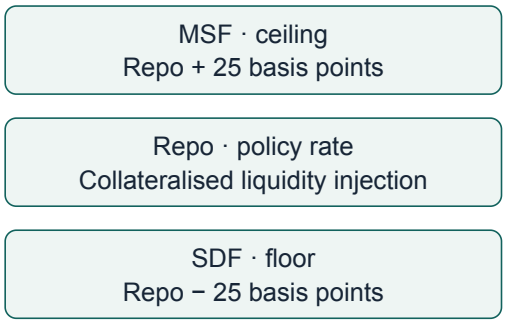
- **Hawk:** stronger inflation-control preference; **dove:** greater emphasis on accommodation/growth. **Neutral stance:** can move either way; a stance and the current rate level are different. **Calibrated tightening:** gradual tightening, not a compulsory increase at every meeting.



Tightening generally reverses this direction; transmission is conditional.

8. Policy rates and the liquidity corridor

- **Repo:** RBI lends against eligible securities with an agreement to reverse the transaction. **Reverse repo:** RBI absorbs liquidity against securities. Both differ from an outright OMO sale/purchase.
- **LAF:** Liquidity Adjustment Facility, introduced in **2000** following reform recommendations; repo/reverse-repo and related liquidity operations.
- **SDF—2022:** Standing Deposit Facility; **uncollateralised absorption** of liquidity; enabled by the 2018 RBI Act amendment. Replaced fixed reverse repo as the corridor floor.
- **MSF—2011:** Marginal Standing Facility; overnight backstop for eligible banks; allows prescribed dipping into SLR, generally up to **2% of NDTL**. Minimum ₹1 crore and multiples thereof; not a general lending window for ordinary firms.
- **Bank Rate:** statutory rate for buying/rediscounting eligible bills; aligned with MSF for policy purposes. Do not define it simply as a long-term unsecured loan rate.
- **Corridor:** SDF typically repo −25 basis points; MSF repo +25 basis points. **100 basis points = 1 percentage point.** SDF/MSF facilities are available on all days, subject to operating rules.
- **October 2026 RBI rate display:** repo **5.25%**, SDF **5.00%**, MSF/Bank Rate **5.50%**, fixed reverse repo **3.35%**, CRR **3.00%**, SLR **18.00%**. These are variable policy settings; the chapter's CRR 4.5% is outdated. RBI rates
- **VRR:** Variable Rate Repo auctions allocate funds at bid-based rates; not a separate freely fluctuating policy repo rate. **LTRO:** longer-term repo funding, historically one–three years; **TLTRO:** funds linked to specified investments, such as eligible corporate bonds/CP/NCDs.



MSF lends at the upper edge; SDF absorbs without collateral at the lower edge.

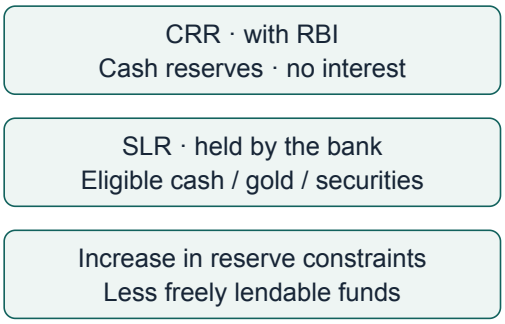
9. OMO, sterilisation, QE and liquidity deficits

- **OMO purchase of government securities → liquidity injected; OMO sale → liquidity absorbed.** Purchases can ease yields/lending conditions; effects depend on transmission.
- **Sterilisation:** offset the domestic liquidity effect of forex intervention. RBI buys dollars → rupees injected → sell domestic securities/absorb liquidity to offset. Forex sales can be offset by liquidity injection.
- **Operation Twist:** buy longer-maturity securities and sell shorter ones to influence the yield curve and lower long-term borrowing costs; India began these operations in **December 2019**; US historical example **1961**.
- **Quantitative easing:** large-scale asset purchases, often when conventional rate policy is constrained; every routine OMO is not QE.
- **Liquidity deficit causes:** credit growth exceeding deposit mobilisation, tax outflows and higher government balances with RBI, forex sales/capital outflows. Deposit rates and money-market borrowing costs may rise; a deficit does not automatically force an MPC repo increase.
- **Rupee-pressure PYQ:** non-essential-import restraint/export promotion, foreign borrowing inflows and rupee-denominated Masala Bonds may help; expansionary monetary policy is not the most likely anti-depreciation measure.

10. CRR, SLR and selective credit controls

- **CRR:** cash proportion of eligible NDTL kept **with RBI**; no interest. Reduces funds available for lending when raised. Since the 2006 amendment, no statutory 3–15% band applies.
- **Maintenance:** fortnightly average and minimum daily requirement under RBI rules; shortfalls attract penal interest, historically Bank Rate +3 percentage points initially, +5 on continued shortfall.
- **Incremental CRR:** temporary reserve on incremental liabilities; historical examples **2016** after demonetisation and **2023** to absorb surplus liquidity. Do not confuse it with the normal CRR.
- **SLR:** own holdings of eligible **cash, gold and unencumbered approved securities**; Section 24, BR Act. Statutory ceiling **40%**; earlier 25% floor removed. Historical peak **38.5% in 1991–92**; later reduced.
- **CRR vs SLR:** RBI cash balance versus bank-held liquid assets; CRR earns no interest, while interest-bearing SLR securities can earn returns. Both constrain balance-sheet choices; neither has a universal short-term/long-term policy division.
- **Selective/qualitative tools:** margin requirements, credit rationing/ceilings, moral suasion, consumer-credit conditions. Collateral ₹100, loan ₹70 → margin 30%; margin increase normally reduces borrowing capacity.

- **MCLR—1 April 2016:** marginal-cost benchmark, replacing Base Rate for applicable new loans. Components: marginal cost of funds, negative carry on CRR, operating cost, tenor premium; lending rate adds spread.
- **External benchmark regime—October 2019 onward:** specified new floating-rate retail/personal and MSME loans use external benchmarks; MCLR is not the sole benchmark for all bank loans.



Cash location and eligible assets distinguish CRR from SLR.

11. Reports, laws and PRAVAAH

- **Monetary Policy Report:** half-yearly; inflation outlook, economic conditions and forecasts. **Financial Stability Report:** half-yearly; collective assessment of FSDC Sub-Committee, systemic risks and resilience.
- **Key laws:** RBI Act **1934**; Public Debt Act **1944**; Banking Regulation Act **1949**; FEMA **1999**; SARFAESI **2002**; Credit Information Companies Act **2005**; Government Securities Act **2006** and Regulations **2007**; Payment and Settlement Systems Act **2007**; Factoring Regulation Act **2011**; IBC **2016**.
- **PRAVAAH:** Platform for Regulatory Application, Validation and Authorisation; RBI online regulatory applications/permissions, tracking and processing. Launched **28 May 2024**. RBI launch

12. Bank structure, mergers and foreign banks

- **Commercial banks:** public sector, private sector, foreign banks, RRBs; differentiated licences include SFBs and payments banks. **Co-operative banks:** urban and rural. Development institutions/NBFCs form separate categories.
- **Scheduled:** in Second Schedule of RBI Act; Section 42 includes legacy paid-up capital/reserves criterion of **₹5 lakh** and satisfactory conduct. This is not the modern licence-capital requirement. Non-scheduled banks are outside the Schedule; not every co-operative bank is non-scheduled.
- **2019:** Dena + Vijaya → Bank of Baroda. **2020:** OBC + United → PNB; Syndicate → Canara; Andhra + Corporation → Union; Allahabad → Indian Bank.
- **12 PSBs:** SBI, PNB, Bank of Baroda, Bank of India, Central Bank of India, Canara, Union, Indian Overseas, Punjab & Sind, Indian Bank, UCO, Bank of Maharashtra.
- **Merger benefits:** scale, stronger capital, wider network, technology/talent pooling and larger lending capacity. **Risks:** IT/cultural integration, concentration, reduced local responsiveness, legacy asset-quality issues.
- **Private banks:** old-generation and post-liberalisation entrants; licensing opened in 1993 after 1991 reforms. Examples HDFC Bank, ICICI Bank, Axis, Bandhan, Yes Bank. **IDBI is a banking company, not one of today's five AIFIs.**

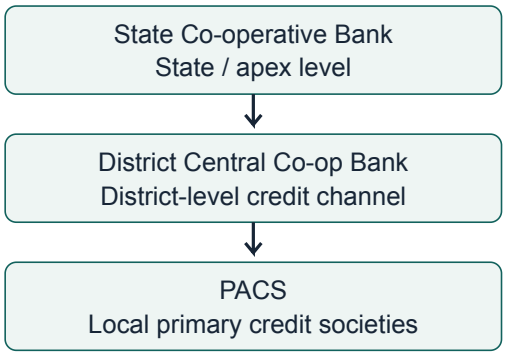
- **Foreign banks:** branch mode or locally incorporated wholly owned subsidiary (WOS); RBI assesses home supervision, financial soundness, ownership, ratings, international presence and reciprocal considerations.
- **WOS minimum capital/net worth ₹500 crore**, not the chapter's old ₹300 crore. Initial three-year minimum CAR **10%**, plus applicable buffers. Board: ≥two-thirds non-executive, ≥one-third independent, ≥50% Indian nationals/NRIs/PIOs with ≥one-third Indian nationals resident in India. CEO resident in India; fit-and-proper/approval requirements apply. RBI WOS guidelines

13. Regional Rural Banks

- **RRBs:** launched **1975** following M. Narasimham recommendations; RRB Act **1976**. Target small/marginal farmers, agricultural labourers, artisans and rural small businesses; combine commercial banking with local outreach.
- **Traditional ownership: Centre 50%, State 15%, sponsor bank 35%.** Statutory recapitalisation/ownership provisions qualify the original model.
- **RBI regulates; NABARD supervises/refinances; sponsor bank supports.** Sources: capital, deposits, borrowings/refinance from sponsor banks/NABARD and eligible institutions.
- **One State–One RRB:** number reduced **43 → 28 from 1 May 2025**, in 26 states and two UTs. Aim: viability, lower administrative cost, technology and scale. Government consolidation

14. Co-operative banks and the 2020 reform

- **Member-owned, one member–one vote** principle; state or multi-state co-operative law governs society matters. Banking business also falls under RBI/BR Act. Not every customer is necessarily a voting member.
- **Short-term rural structure:** State Co-operative Bank → District Central Co-operative Bank → Primary Agricultural Credit Society. **Long-term:** State/Primary Co-operative Agriculture and Rural Development Banks. PACS are not automatically licensed commercial banks.
- **NAFSCOB:** federation of state co-operative banks; not another statutory regulatory tier. NABARD has important rural co-operative supervision/refinance functions.
- BR Act banking provisions extended to co-operatives through the **1965 amendment, effective 1966**, not 1955. **2020 amendment:** strengthened RBI powers over management, audit, capital and reconstruction; registrars retain society-law functions.
- **Exceptions:** qualifying PACS and agricultural/long-term-development co-operative societies meeting statutory conditions; exemption is not an unrestricted permission to conduct banking.
- **UCB framework—N. S. Vishwanathan committee (2021), implemented 2022:** Tier 1—unit/salary-earners' UCBs and other UCBs up to ₹100 crore deposits; Tier 2—above ₹100–1,000 crore; Tier 3—above ₹1,000–10,000 crore; Tier 4—above ₹10,000 crore.
- **Minimum net worth:** ₹2 crore for Tier-1 UCBs in one district; ₹5 crore for others, with transition. **CRAR:** Tier 1 **9%**; Tiers 2–4 **12%**, subject to transition rules.
- **Financially Sound and Well Managed:** compliance, profitability, capital and asset quality; chapter cues include net NPA ≤3%, no CRR/SLR default, professional board and CBS. These are not the complete eligibility checklist.
- **NUCFDC:** National Urban Co-operative Finance and Development Corporation, umbrella organisation launched **2024**; support services/technology/capacity, not a replacement for RBI regulation.



Short-term rural co-operative credit structure;
PACS are not automatically licensed banks.

15. Development finance institutions

- **Development finance:** long-term capital and technical support where high risk/long gestation constrain ordinary credit; refinancing differs from direct retail lending.
- **Five AIFIs:** NABARD, SIDBI, EXIM Bank, NHB and **NaBFID**. IFCI/MUDRA have different legal classifications; IDBI is a bank.
- **NABARD—12 July 1982, Act 1981; Mumbai:** B. Sivaraman committee; took over agricultural/rural credit functions from RBI and ARDC. Agriculture/rural refinance, institutional development, RRB/rural-co-operative supervision, RIDF; authorised capital raised to ₹30,000 crore by the 2018 amendment; wholly GoI-owned after 2019.
- **SIDBI—1990, Lucknow:** originally IDBI subsidiary; MSME finance/refinance, direct assistance, modernisation, marketing, clusters and enterprise development.
- **IFCI—1948:** first statutory DFI; converted to a company in **1993**, now NBFC; medium/long-term industry/infrastructure finance, advisory and related services.
- **EXIM Bank—1982:** export/import finance; capital-goods exports, buyer's credit, support to export units and eligible bill rediscounting; facilitates overseas buyers' purchase of Indian goods/services.
- **NHB—1988, Act 1987; New Delhi:** apex housing-finance/refinance institution; GoI ownership from 2019. **RBI took over HFC regulation in 2019**; NHB ownership/refinancing and supervision roles are distinct from rule-making.
- **NaBFID—2021:** statutory infrastructure development-finance institution; complements commercial lenders for long-term infrastructure funding.

16. MUDRA, local-area banks and neobanks

- **MUDRA—2015:** Micro Units Development and Refinance Agency; NBFC supporting micro-enterprise finance/refinancing through banks/NBFCs/MFIs. It is **not a deposit-taking commercial bank or the general regulator of MFIs**.
- **PMMY categories:** Shishu **up to ₹50,000**; Kishor **above ₹50,000–₹5 lakh**; Tarun **above ₹5–10 lakh**; **Tarun Plus above ₹10–20 lakh**, for eligible borrowers who successfully repaid Tarun loans, effective **24 October 2024**. Non-corporate micro-enterprises and eligible allied-agriculture activities; not a general crop-loan scheme. Government PMMY update

- **LABs—1996 scheme:** geographically limited private banks, originally three contiguous districts; historical minimum capital ₹5 crore/promoter contribution ₹2 crore, PSL 40%. Capital Local Area Bank became an SFB in 2016; avoid treating it as a current LAB.
- **Neobanks:** digitally delivered financial interfaces, generally partnering with licensed banks in India; no separate unrestricted neobank deposit licence. Examples in the chapter: Fi, Jupiter, Niyo, RazorpayX.
- **Benefits:** convenient payments, expense tracking, digital onboarding, lower delivery cost. **Risks:** fraud/cybersecurity, outages, privacy, partner dependence, exclusion of digitally inexperienced users; better rates/credit availability are not guaranteed.

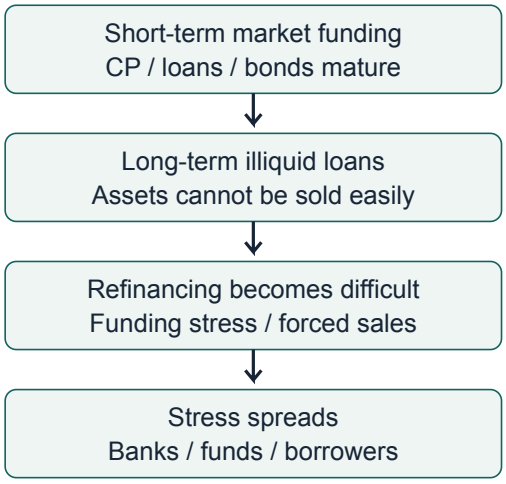
17. NBFCs: meaning, categories and funding

- **NBFC:** company engaged principally in financial business; RBI's **50–50 test** broadly requires financial assets >50% of total assets and financial income >50% of gross income. Companies principally in agriculture/industry/trading/non-financial services are distinguished.
- RBI regulates covered NBFCs; insurance, securities businesses, chit funds etc. may fall under other regulators/laws. **100% FDI automatic route** for eligible regulated other-financial-services activities dates from 2016; conditions apply.
- **NBFC-D / NBFC-ND:** authorised deposit-taking versus non-deposit-taking. Neither can accept bank-like demand deposits. Deposits, where authorised, are subject to separate maturity/rating/prudential rules.
- **ICC—2019:** Investment and Credit Company, merging asset-finance, investment and loan-company categories. **IFC:** Infrastructure Finance Company; ≥75% assets in infrastructure loans, NOF ₹300 crore, CRAR 15%, minimum rating and capital conditions.
- **CIC:** Core Investment Company; ≥90% net assets in group investments/loans, with ≥60% in specified group equity exposures; registration depends on size/public-fund criteria; not an ordinary trading investment company.
- **IDF-NBFC:** Infrastructure Debt Fund; long-term infrastructure refinancing, traditionally funded by bonds of minimum five-year maturity. **2023 review removed mandatory sponsor requirement**; do not learn “only IFC can sponsor” as a current universal rule.
- **NBFC-MFI:** microfinance; **Factor:** purchases receivables, improving working capital; **MGC:** mortgage guarantees, NOF ₹100 crore and prescribed ≥90% business/income tests; **HFC:** housing finance. HDFC Ltd merged into HDFC Bank in **2023**.
- **Funding:** bank/institutional loans, bonds/debentures, CP, eligible external borrowing, authorised deposits, refinance and equity. **AA/P2P/NOFHC:** information-sharing, lending-platform and holding-company categories, not interchangeable lenders.

18. NBFC risks, shadow banking and scale-based regulation

- **Bank vs NBFC:** NBFC cannot accept demand deposits or issue cheques drawn on itself; no DICGC cover; bank-style CRR/SLR do not generally apply, though NBFC liquidity/asset rules do. Avoid claiming all non-banks are excluded from payment systems: authorised non-bank participation exists.
- **ALM mismatch:** short-term market borrowing funds long-term illiquid loans → refinancing risk. Lender/investor withdrawal → forced asset sales → funding stress spreading to banks and mutual funds.
- **Shadow banking:** credit intermediation outside ordinary banking; phrase popularised by Paul McCulley in 2007. It need not be illegal/unregulated; Indian NBFCs can be extensively regulated.

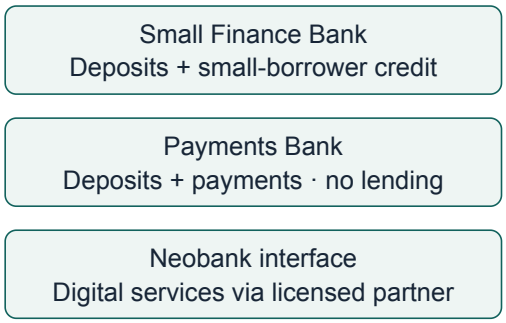
- **Risk controls:** governance, liquidity buffers, disclosure, concentration limits, capital, credit appraisal and RBI supervisory powers; CRO requirement for larger specified NBFCs. Ombudsman applies to eligible entities, not every NBFC.
- **SBR effective 1 October 2022**, not merely proposed: Base → Middle → Upper → Top. **Base:** generally smaller non-deposit-taking NBFCs below ₹1,000 crore plus specified specialised types. **Middle:** deposit-taking NBFCs, larger ND entities and specified categories. **Upper:** RBI-identified systemic entities, including top ten by assets. **Top:** normally empty, activated for heightened risk.
- **90-day NPA norm:** transition for Base-Layer NBFCs completed by **31 March 2026**. Layer-specific regulation reflects size, activity and systemic risk; it is not a classification of all entities solely by deposits.
- **Primary Dealers—1995:** underwrite government-security auctions, quote prices, make markets and support primary/secondary G-sec liquidity. Special access for eligible standalone PDs should not be generalised to every NBFC.



Asset–liability maturity mismatch can turn a funding shock into contagion.

19. Small finance banks and payments banks

- **Differentiated banks:** limited-purpose licences for specified customers/services; Nachiket Mor financial-inclusion committee report **2014**. They are licensed banks, distinct from fintech-only neobank interfaces.
- **SFB:** deposits + credit for underserved small businesses, small/marginal farmers, micro-industries and unorganised workers; can accept demand/time deposits and provide loans. Resident experienced promoters and eligible entity conversions, subject to fit-and-proper conditions; public company under Companies Act, **2013**.
- **SFB updated minimum capital/net worth ₹300 crore**; UCB transition initially ₹150 crore, reaching ₹300 crore within five years. CRAR **15%**, Tier 1 ≥7.5%; at least **50% of loan portfolio in loans up to ₹25 lakh**. **PSL 60% from FY2025–26**, reduced from 75%. RBI SFB guidelines, PSL revision
- **Payments bank:** small savings/payment/remittance services; demand deposits up to **₹2 lakh per individual customer** since 2021. No own lending, credit cards or ordinary time deposits; may issue debit/ATM cards and distribute permitted products.
- **PB framework:** minimum capital **₹100 crore**, CRAR **15%**, minimum leverage ratio **3%**; CRR applies. At least **75% of demand-deposit balances in eligible G-secs/T-bills up to one-year maturity**, balance up to 25% in permitted bank deposits. Restricted assets reduce credit risk; operational/market risks remain.
- **IPPB:** incorporated **2016**, pilot operations 2017, nationwide launch **2018**; wholly GoI-owned under Department of Posts. Post offices and postal personnel provide last-mile access.



Compare the licence and permitted activities before comparing the app.

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20. Governance, consumer protection and institutional bodies

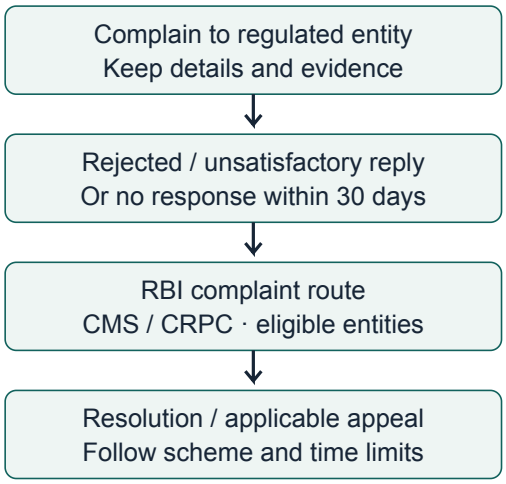
- **BBB—2016:** Banks Board Bureau, associated with P. J. Nayak reforms/Indradhanush; recommended PSB appointments and advised strategy/capital raising. RBI Governor was not its chairman.
- **FSIB—2022:** Financial Services Institutions Bureau replaced BBB; recommends leadership appointments in PSBs, public insurers and financial institutions; supports governance/performance assessment. Under Finance Ministry/DFS framework, not RBI itself.
- **FSIB composition:** chair; ex-officio DFS/DPE secretaries, IRDAI chair and RBI Deputy Governor; three banking/FI experts + three insurance experts. Appointment follows government criteria, not the chapter's historical chairperson as a permanent officeholder.
- **BCSBI—2006:** independent society promoting customer-commitment codes, following S. S. Tarapore recommendations; subsequently wound down. Its codes role differs from complaint compensation by an Ombudsman.
- **ABBF—2019:** CVC Advisory Board for Banking Frauds; examines prescribed large fraud matters to distinguish fraud from bona fide business decisions before investigation/referral; not a general loan sanctioning body.
- **Digital payment security controls—2021:** governance, fraud monitoring, IT architecture, reconciliation and customer protection for covered banks/card-issuing NBFCs. RBI payment-data localisation requires prescribed payment data in India; it does not require all operators to be PSUs or reports to CAG.

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21. Ombudsman: complaint route and the 2026 change

- **History:** Banking Ombudsman 1995; **2021 integrated scheme** merged banking, NBFC and digital-transaction schemes under jurisdiction-neutral complaint handling.
- **RB-IOS 2026 replaces 2021 from 1 July 2026**; older complaints/appeals continue under transitional rules. **Free**, non-adversarial redress for service deficiency; not every RBI-regulated entity is covered. RBI 2026 FAQ
- **Coverage:** commercial/RRB/state and central co-operative banks; scheduled UCBs and non-scheduled UCBs with deposits ≥₹50 crore; eligible deposit-taking/customer-facing NBFCs with relevant asset threshold ≥₹100 crore, excluding prescribed categories; non-bank PPI issuers; credit-information companies.
- **Route:** first complain to the regulated entity; after rejection/unsatisfactory response or no reply within 30 days, use RBI CMS/CRPC subject to prescribed filing limits. Decisions have appeal provisions where applicable; they are not universally final and unappealable.

- **2026 compensation:** up to **₹30 lakh consequential loss + ₹3 lakh** for time/expenses/harassment; no ceiling on the underlying disputed amount. These replace the chapter's 2021 limits of ₹20 lakh and ₹1 lakh. RBI 2026 scheme, hosted by Axis Bank



Free Ombudsman redress operates after the first complaint to the service provider.

22. NPCI and retail payment systems

- **NPCI—2008, RBI/IBA initiative:** not-for-profit company, originally Section 25, now Section 8; umbrella for retail-payment infrastructure; headquartered Mumbai.
- **UPI:** interoperable real-time payments using participating accounts; **BHIM:** UPI app, not a stored-value wallet. **IMPS:** immediate interbank transfer; **AePS:** Aadhaar-enabled banking/payment access.
- **RuPay—2012:** Indian card network; debit, credit and prepaid products, including international acceptance —not only domestic debit cards.
- **NFS:** National Financial Switch, interconnecting ATMs; **NACH:** bulk/repetitive payments such as salaries, pensions, subsidies and mandates; **BBPS/Bharat Connect:** interoperable bill payments.
- **USSD *99#:** banking interface without internet access, using a mobile phone; "no phone needed" is incorrect.
- **NUE framework—2020:** proposed umbrella entities for retail payments; permitted corporate structures are not necessarily not-for-profit. Proposal/framework ≠ proof an entity is operational.
- **RTGS:** real-time, transaction-by-transaction gross settlement; minimum **₹2 lakh**, no RBI upper ceiling. **NEFT:** half-hourly batch settlement, no RBI minimum/maximum, subject to bank/channel limits. **Both 24×7**; inward transfers free. Monetary limits and operating rules differ from the chapter's older assumptions.
- **2025 UPI PYQ:** among UAE, France, Germany, Singapore and Bangladesh, merchant acceptance was in **UAE, France and Singapore** at exam time. This is a dated exam list, not a permanent international inventory.

23. Cheques, drafts, hundis and prepaid instruments

- **Cheque:** signed unconditional order on a specified banker to pay a certain sum on demand; Negotiable Instruments Act, **1881**. **Drawer:** issuer; **drawee:** bank; **payee:** recipient; endorsement transfers rights subject to conditions.

- **Bearer:** payable to bearer; **order:** payable to named person/order and can generally be endorsed; **crossed:** payment through a bank, while account-payee crossing adds restriction. Crossing alone does not universally prohibit transfer.
- **Ante-dated:** earlier date; **post-dated:** payable from its date; **stale:** beyond three-month validity; **self:** withdrawal by issuer; **traveller's:** historical prepaid travel instrument; **mutilated:** damaged, requiring verification; **blank:** incomplete cheque, fraud risk.
- **CTS:** Cheque Truncation System; images/data replace physical movement for clearing, reducing delay and handling cost.
- **Dishonour under Section 138:** qualifying legally enforceable debt, statutory notice/payment conditions; punishment may reach **two years or fine up to twice cheque amount, or both**. Not every returned cheque automatically establishes the offence.
- **Demand draft:** bank-issued prepaid payment order; differs from a customer's cheque depending on account funds.
- **Hundi:** indigenous bill of exchange/remittance/credit instrument. “No legal status” is too absolute: the NI Act preserves qualifying local usages unless excluded.
- **Debit card:** own deposit funds; **credit card:** issuer credit; **prepaid card/PPI:** preloaded value. A chip/smart card is a technology feature, not automatically a prepaid instrument requiring no authentication.
- **PPI:** stored value used for permitted payments; RBI authorisation/KYC rules vary with instrument category. Wallet, bank deposit, UPI and CBDC are distinct.

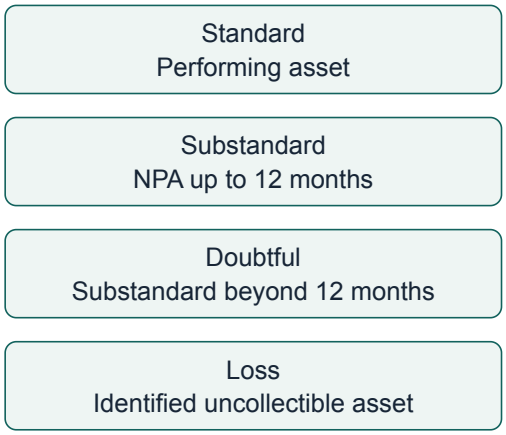
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24. ATMs, MDR, banking codes and KYC

- **ATMs:** on-site (branch), off-site, worksite; **white-label:** non-bank-owned/operated with RBI authorisation; **brown-label:** hardware/service outsourcing with banking partner functions. Biometrics/cardless UPI-ATM are access technologies.
- “Green/agriculture, orange/shares, yellow/e-commerce, pink/women” are informal labels, **not equivalent RBI regulatory categories**.
- **PoS:** merchant payment acceptance terminal; authentication depends on transaction/card rules. **MDR:** merchant's charge for payment acceptance; not a reward paid to the merchant. Zero MDR applies to prescribed **RuPay debit and BHIM-UPI**, not every RuPay credit transaction.
- **IFSC:** 11-character alphanumeric code—four bank characters, fifth **0**, six branch characters; used in electronic transfers. **MICR:** nine digits—three city, three bank, three branch; cheque processing.
- **SWIFT/BIC:** eight or eleven characters identifying institutions for messaging; SWIFT is not itself a direct universal settlement account.
- **CBS:** centralised network lets customers transact across bank branches; **e-Kuber:** RBI's core banking platform, including government-security auction interfaces.
- **KYC:** identity/address verification and ongoing due diligence for AML/CFT; electronic KYC includes permitted digital methods, not compulsory Aadhaar for every case.
- **Small account, relaxed KYC:** balance ≤₹50,000; annual credits ≤₹1 lakh; monthly withdrawals/transfers ≤₹10,000; no foreign remittances without full verification; time-limited, subject to extension conditions.
- **LEI:** 20-character global legal-entity identifier, ISO 17442; issued through accredited local operating units, not by RBI as the sole global issuer. **Zero-rupee note:** Fifth Pillar anti-bribery campaign, not legal currency.
- **Digital lending:** technology across acquisition, assessment, approval, disbursal and recovery; regulated lender remains responsible for lending-service-provider conduct and consumer safeguards.

25. NPAs, stress and the twin balance-sheet problem

- **NPA term loan:** interest/principal overdue **more than 90 days**. Bills overdue >90 days; OD/CC "out of order" under prescribed tests. **Agricultural crop loans:** two crop seasons for short-duration crops; one season for long-duration crops.
- **Standard:** performing; **substandard:** NPA for up to 12 months; **doubtful:** substandard for more than 12 months; **loss:** identified uncollectible asset not fully written off. These are asset-quality categories, not borrower criminal guilt.
- **Causes:** weak appraisal/monitoring, governance/wilful default, overleveraged firms, project delays, adverse business cycles, concentration and legal/recovery delays.
- **Effects:** lost interest, provisioning, lower profit/capital, credit restraint and weaker confidence; inflation does not automatically rise just because NPAs increase.
- **Twin balance-sheet problem:** overleveraged corporates cannot repay/invest + stressed banks cannot lend effectively → weak investment/credit cycle. Recognition, resolution and recapitalisation address both sides.
- **Stressed assets:** NPAs and other distressed/restructured exposures; a simple NPA + restructured + written-off sum may double-count and is not a universal accounting identity.
- **Provisioning:** charge earnings against expected/identified loan loss, not necessarily a physical cash reserve. **PCR = NPA provisions / gross NPAs ×100**, subject to reporting treatment of technical write-offs.
- **GNPA ratio = gross NPA / gross advances ×100; NNPA ratio = net NPA / net advances ×100.** Net NPA subtracts prescribed provisions/adjustments; it is not identical to final realised loss. **Write-off ≠ waiver**; recovery may continue.

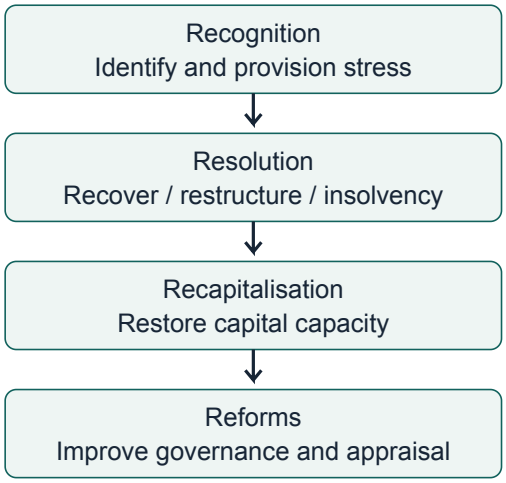


Loss classification can occur when uncollectibility is identified; it need not wait for the whole sequence.

26. Resolution: 4Rs, IBC and historical schemes

- **4Rs:** Recognition → Resolution → Recapitalisation → Reforms. A fresh capital injection without governance/asset-quality improvement risks repeated stress.
- **Historical schemes: 5/25 (2014):** flexible long-term infrastructure/project loans, refinancing about every five years; **SDR (2015):** debt-to-equity conversion/change of ownership; **AQR (2015):** recognise hidden stress; **S4A (2016):** split sustainable and unsustainable debt, restructuring the latter. These do not all remain active standalone schemes.

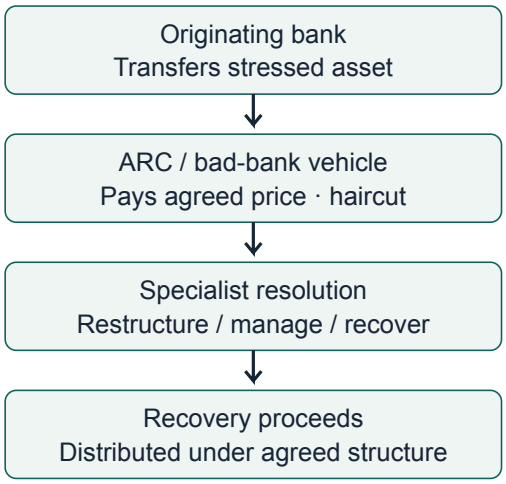
- **IBC—2016:** collective, time-bound insolvency resolution under statutory institutions; NCLT handles corporate processes. Value preservation and creditor coordination, not a guarantee of full recovery.
- **June 2019 Prudential Framework:** early default recognition, review and resolution plans; additional provisions for delay. Followed the Supreme Court's invalidation of the February 2018 circular for exceeding statutory authority.
- **Inter-Creditor Agreement:** coordination among lenders; applicable decisions approved by **75% by value and 60% by number** under the framework. The 2019 PYQ refers to faster resolution of consortium stressed assets of ₹50 crore or more.
- **Mains reform package:** stronger appraisal/boards, transparent recognition, commercially sound restructuring, timely insolvency, capital and accountability without criminalising bona fide credit decisions.



The 4Rs combine balance-sheet repair with prevention of repeated stress.

27. ARCs, bad banks and SARFAESI

- **ARC:** buys stressed financial assets, often at discount, then restructures/recovers them; registered with RBI under **SARFAESI, 2002**. Narasimham reform recommendations preceded later bad-bank proposals.
- **ARC minimum NOF ₹300 crore**, ongoing; existing firms' transition deadline **31 March 2026**. Chapter's ₹100 crore is old. **CRAR 15%**; asset transfer and security receipts have prescribed valuation/investment rules. RBI ARC directions
- **ARCIL:** established 2002, with major bank sponsors. **NARCL:** National Asset Reconstruction Company, established **2021**; **IDRCL** provides management/resolution services. An announced proposal and an operating entity should be distinguished.
- **Bad-bank model:** stressed assets transferred → originating bank recognises haircut and cleans up → specialist works on recovery. It does not erase borrower debt, create free capital or guarantee full recovery.
- **PARA:** Public Sector Asset Rehabilitation Agency proposed in Economic Survey **2016–17**; a proposal, not the first-ever bad-bank idea or a functioning deposit bank.
- **SARFAESI:** qualifying secured creditor can enforce security after prescribed **60-day notice**, using possession, sale/lease and other statutory measures. Agricultural land and other statutory exemptions apply; not a universal shortcut for unsecured loans. Borrower may seek DRT remedies.



Asset transfer does not waive the borrower's obligation or guarantee full recovery.

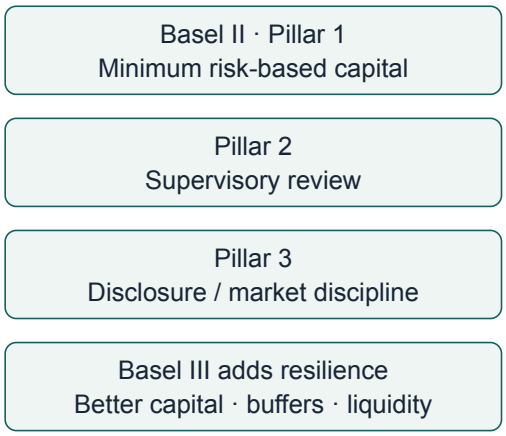
28. PCA and banking stability

- **Prompt Corrective Action:** supervisory intervention for weak banks, introduced 2002, revised subsequently. Actions can restrict dividends, expansion, risky business/expenses and require capital/governance repair; PCA does not automatically close a bank.
- **Commercial-bank framework revised 2021:** capital (CRAR/CET1), asset quality (NNPA), leverage—do not copy the older capital–asset quality–profitability list as current commercial-bank indicators.
- **UCB PCA from 1 April 2025:** applies to Tiers 2–4 with prescribed exceptions; capital, asset quality and profitability indicators. Bank-type-specific frameworks differ.
- **Banking Stability Index (distress dependence):** expected number of distressed banks conditional on at least one bank in distress; greater interdependence can magnify contagion. RBI distress-index explanation
- **Banking Stability Indicator/map:** different composite measure using **soundness, asset quality, profitability, liquidity, efficiency**. Higher risk readings mean deterioration within its methodology, not a credit-rating upgrade. RBI stability dimensions

29. Basel: capital, liquidity and leverage

- **BIS—1930, Basel:** forum/services for central banks; **BCBS:** Basel Committee on Banking Supervision, standard-setter. Basel standards acquire domestic effect through national rules, not automatic international legislation.
- **Basel I—1988:** credit-risk capital, international minimum CAR **8%**; market-risk amendment 1996. India introduced capital standards in **1992**, moving to **9% by 1999**.
- **CAR/CRAR = eligible Tier 1 + Tier 2 capital / risk-weighted assets ×100.** Tier 1 is higher-quality going-concern loss absorption; Tier 2 includes qualifying subordinated instruments/provisions. RWA, not unweighted deposits, is the denominator.
- **Basel II—2004, three pillars:** minimum capital for credit/market/**operational** risk; supervisory review; disclosure/market discipline. "Capital risk" should not replace operational risk.
- **Basel III:** response to global financial crisis—better capital, buffers, leverage and liquidity. India began implementation **1 April 2013**.

- **Global minima:** CET1 **4.5%**, Tier 1 **6%**, total **8%**; Capital Conservation Buffer **2.5%** → total plus buffer **10.5%**. CET1 minimum is not the whole Tier-1 minimum.
- **Indian ordinary SCB minima:** CET1 **5.5%**, Tier 1 **7%**, total **9%**; CCB **2.5%** → **11.5%**, not the chapter's 9.5%. SFB/PB/RRB/co-operative regimes differ. RBI prudential handbook
- **Countercyclical buffer:** generally **0–2.5%** RWA when activated; build in excessive-credit booms, release during stress; not permanently an extra 2.5% for every Indian bank.
- **LCR = High-Quality Liquid Assets / 30-day stressed net cash outflows ×100; minimum 100%.** Eligible cash/securities and prescribed SLR relaxations count; not every SLR asset automatically qualifies without limits.
- **NSFR:** stable funding for longer-term assets over a one-year horizon; **leverage ratio:** Tier-1 capital / prescribed total exposure, constraining excessive unweighted leverage.



Capital absorbs losses; liquidity and funding standards address payment and maturity stress.

30. Systemic importance, ratings and FSDC

- **SIFI/SIB:** failure can disrupt the wider system through size, interconnectedness, complexity and critical services. “Too big to fail” describes systemic consequences, not a legal promise to rescue.
- **G-SIBs:** FSB list, using BCBS methodology; first published 2011, updated annually. **D-SIB framework India—2014:** RBI identifies banks and requires additional CET1; size >2% GDP is an assessment/sampling cue, not automatic designation.
- **SBI, HDFC Bank, ICICI Bank:** D-SIBs. Additional CET1 surcharges in the 2024 framework effective April 2025: **0.8%, 0.4%, 0.2%** respectively, above applicable ordinary requirements/buffers.
- **CAMELS:** Capital adequacy, Asset quality, Management, Earnings, Liquidity, Systems/controls in the Indian supervisory usage; international variants use sensitivity to market risk. Distinguish supervisory assessment from public agency ratings; RBI also uses risk-based supervision.
- **FSDC—2010:** non-statutory Financial Stability and Development Council, chaired by **Union Finance Minister**; regulators and senior officials coordinate stability, development, inclusion/literacy and international matters. **Sub-Committee chaired by RBI Governor**. FSDC is not the MPC.

31. Committees: pair the name with the subject

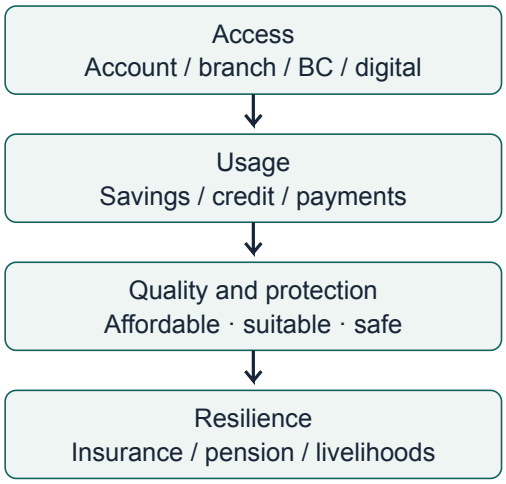
- **Narasimham:** banking-sector reforms; **Nachiket Mor (2013–14):** small-business/low-income financial access; **P. J. Nayak (2014):** bank-board governance.

- **M. B. Shah (2014):** black-money SIT; **Jasbir Singh (2015):** differential deposit-insurance premium; **Deepak Mohanty (2015):** financial inclusion; **L. P. Parthasarathi (2015):** banking data standardisation, not UCB reform; **Shankar Acharya (2016):** financial-year review.
- **Bimal Jalan (2018–19):** RBI economic capital; **Suresh Mathur (2019):** microinsurance; **Harsh Vardhan (2019):** housing-loan securitisation; **Usha Thorat (2019):** offshore rupee markets.
- **Surjit Bhalla (2019):** trade-policy HLAG; proposed **Elephant Bonds**, 25-year instruments linked to part of disclosed overseas assets—not an implemented deposit product merely because recommended.
- **V. G. Kannan (2019):** ATM interchange; **Tapan Ray (2019):** CICs; **T. N. Manoharan (2019):** secondary corporate-loan market; **Nandan Nilekani (2019):** digital payments; **P. K. Mohanty (2020):** bank ownership/corporate structure; **Deepak Phatak (2020):** QR-code analysis; **N. S. Vishwanathan (2021):** UCBs.

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32. Financial inclusion: access, use and quality

- **Financial inclusion:** affordable, timely and adequate formal financial services for underserved/vulnerable groups; not just an opened account. **Access + active usage + suitable service quality/protection** are essential.
- **Benefits:** safe savings/payments, reduced costly informal credit, investment/jobs, women's agency, risk insurance and income smoothing; inclusion can support multiple SDGs.
- **Historical steps:** life-insurance nationalisation 1956; general insurance 1972; bank nationalisation, RRBs and village adoption; **Lead Bank Scheme—1969**, **Service Area Approach—1989**, later liberalised to allow choice.
- **Lead bank:** district-level coordination and credit planning; not a monopoly over every district loan. **Business Correspondents/Bank Saathis:** deposits, withdrawals, benefit/subsidy access and permitted banking services in branchless areas.
- **SHG–Bank Linkage:** NABARD pilot **1992**, not originally SBI; group savings and mutual responsibility support lending; SCBs/RRBs/co-operatives participate.
- **JAM:** Jan Dhan + Aadhaar + Mobile → account access, identification, DBT and digital payments; address exclusion, authentication failure and fraud rather than assuming all leakage disappears.
- **Barriers:** remote/NE/hilly/aspirational/LWE regions, weak connectivity, smartphone affordability, illiteracy, scams/trust deficit, inactive accounts and provider/BC viability.
- **NAMCABS:** banker capacity-building for MSME credit; **KCC—1998:** farm credit, including eligible tenants/sharecroppers and allied activities. **Collateral-free agriculture limit ₹2 lakh per borrower from January 2025**, replacing ₹1.6 lakh.



Meaningful inclusion extends beyond opening an account.

33. Inclusion schemes: high-yield details

- **PMJDY—2014:** basic savings account access, RuPay, DBT and eligible overdraft/insurance facilities; **zero minimum balance** for the basic account. Active usage and affordable credit remain necessary for meaningful inclusion.
- **PMSBY:** accident cover, entry **18–70**; annual premium **₹20**; accidental death/total permanent disability **₹2 lakh**, partial permanent disability **₹1 lakh**. Old ₹12 premium is obsolete.
- **PMJJBY:** life cover for death from any cause **₹2 lakh**; entry **18–50**, renewal subject to rules up to 55; annual premium **₹436**. Old ₹330 premium is obsolete. Government insurance scheme details
- **APY:** entry **18–40**, contributory pension from age 60, guaranteed minimum pension choices **₹1,000–5,000/month**; income-taxpayers barred from new enrolment from **1 October 2022**.
- **PMMY:** micro-enterprise credit; remember Tarun Plus eligibility, not an unconditional ₹20-lakh limit for every new borrower. **IPPB:** postal last-mile deposit/payment access, no own lending.
- **MSSC—Budget 2023:** Mahila Samman Savings Certificate for women/girls; account-opening window **1 April 2023–31 March 2025**, two-year maturity, minimum **₹1,000**, maximum **₹2 lakh**, **7.5%**, quarterly compounding. Historical limited-window scheme, not indefinitely open for new investment. Government MSSC terms

34. Priority Sector Lending and PSLCs

- **PSL:** mandated credit allocation to socially/economically important underserved sectors. Base generally **ANBC or credit-equivalent off-balance-sheet exposure, whichever is higher**.
- **Overall targets:** ordinary domestic commercial banks/foreign banks **40%**; RRBs **75%**; SFBs **60% from FY2025–26**; UCBs **60% under the 2025 directions**. Do not generalise 75% to every co-operative bank. Foreign-bank sub-target rules depend on branch presence. RBI PSL directions
- **Eight categories:** Agriculture; MSMEs; Export Credit; Education; Housing; Social Infrastructure; Renewable Energy; Others. Eligible startups included subject to prescribed limits; eligibility/limits are revised periodically.
- **Weaker sections:** small/marginal farmers, eligible artisans, SC/ST, specified programme beneficiaries, SHGs/JLGs and other prescribed groups; this overlaps sector categories.

- **PSLC:** bank with surplus eligible PSL sells fulfilment certificates; purchaser meets target/sub-target. **No loan asset or credit risk is transferred merely by buying a PSLC.** Different from securitisation/loan assignment.
- Shortfall may attract contributions to **RIDF/other specified funds**. PSL does not mean every loan is subsidised or guaranteed to be repaid.

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35. National strategies and information sharing

- **NSFI 2019–24:** RBI/FIAC historical strategy; six pillars—universal access, basic bouquet, livelihoods/skills, literacy, protection/redress, coordination. Goal included formal-service access within **5 km**.
- **Basic bouquet:** savings, credit, life/non-life microinsurance, pension and investment; customised for user needs. Link with NRLM, DAY-NULM and PMKVY/livelihood support.
- **Literacy delivery:** RBI/NABARD, NGOs, panchayats, SHGs, farmers' clubs and Centres for Financial Literacy; NCFE develops segment-specific modules; strengthen internal complaint systems and stakeholder coordination.
- **NSFI 2025–30:** successor strategy, **five Panch-Jyoti objectives**—suitable/affordable financial bouquet; women-led and vulnerable-household resilience; livelihood/skills linkages; financial education/discipline; reliable customer protection/redress. **47 action points**; focus on usage/quality, not access alone. RBI successor strategy
- **NSFE 2020–25:** second national financial-education strategy, first 2013; NCFE with financial regulators/stakeholders. **5Cs: Content, Capacity, Community, Communication, Collaboration**; curriculum/professional training, provider code, monitoring/evaluation, safe digital use, insurance and retirement planning.
- **Public Credit Registry:** comprehensive borrower credit information proposed after **Y. M. Deosthalee task force**; distinguish credit registry concept from a payment system. **National Financial Information Registry announced in Budget 2023–24**, not 2022–23; announcement alone does not establish operational status.
- **Account Aggregator:** RBI-regulated consent-based financial-information intermediary; voluntary participation; shares permitted data from financial-information providers to users with customer's consent. Not a lender, payment processor or credit bureau; Aadhaar e-KYC/CKYC identity data is different from financial transaction data.

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36. PYQ recall and mains answer cues

- **Assets vs liabilities:** deposits are bank liabilities (2019); demand-deposit cash withdrawal initially changes the form of money, leaving aggregate supply unchanged (2020).
- **Easy policy:** cut reserve/rate constraints; do not raise MSF for expansion (2020). OMO = RBI securities purchase/sale (2013); higher CRR reduces banks' lending funds (2010).
- **Governance:** Governor appointed by Centre and powers from RBI Act; directions to RBI arise under the Act, not the Constitution (2021). MPC has six members, Governor chairs (2017).
- **Inclusion:** SFB credit focus small businesses/farmers (2017); payments banks cannot lend/issue credit cards (2016); BC supports withdrawals/deposits and benefits (2014); Lead Bank Scheme is district coordination (2012/2019).
- **Banking instruments:** Hundi = bill of exchange (2020); MDR paid by merchant (2018); CBS = networked branch access (2016); Basel III strengthens resilience (2015).

- **2024 NBFC PYQ:** the supplied key marks all three statements correct; eligible standalone PD access to LAF must not be confused with access for all ordinary NBFCs.
- **Answer-key cautions:** the book's 2025 RBI-income key includes printing/distribution; routine printing is an expense and the question's intended treatment needs checking against UPSC's final key. The 2016 CBS question has a misprinted option: original option (a) is **1 only**. The 2012 bankers' bank key also needs official-key review; bank reserve deposits and liquidity lending are core functions.
- **Mains PYQ—2016 PMJDY:** argue why accounts/payment/DBT access matters, then assess usage, affordable credit, insurance, pensions, financial literacy, BC viability and consumer protection. Conclude with access → usage → quality; account opening alone is insufficient.
- **Fast distinctions:** capital ≠ liquidity; CRR ≠ SLR; repo ≠ OMO; SDF ≠ collateralised reverse repo; NPA recognition ≠ recovery; write-off ≠ waiver; bank ≠ NBFC ≠ AA; PSL certificate ≠ sale of the loan.